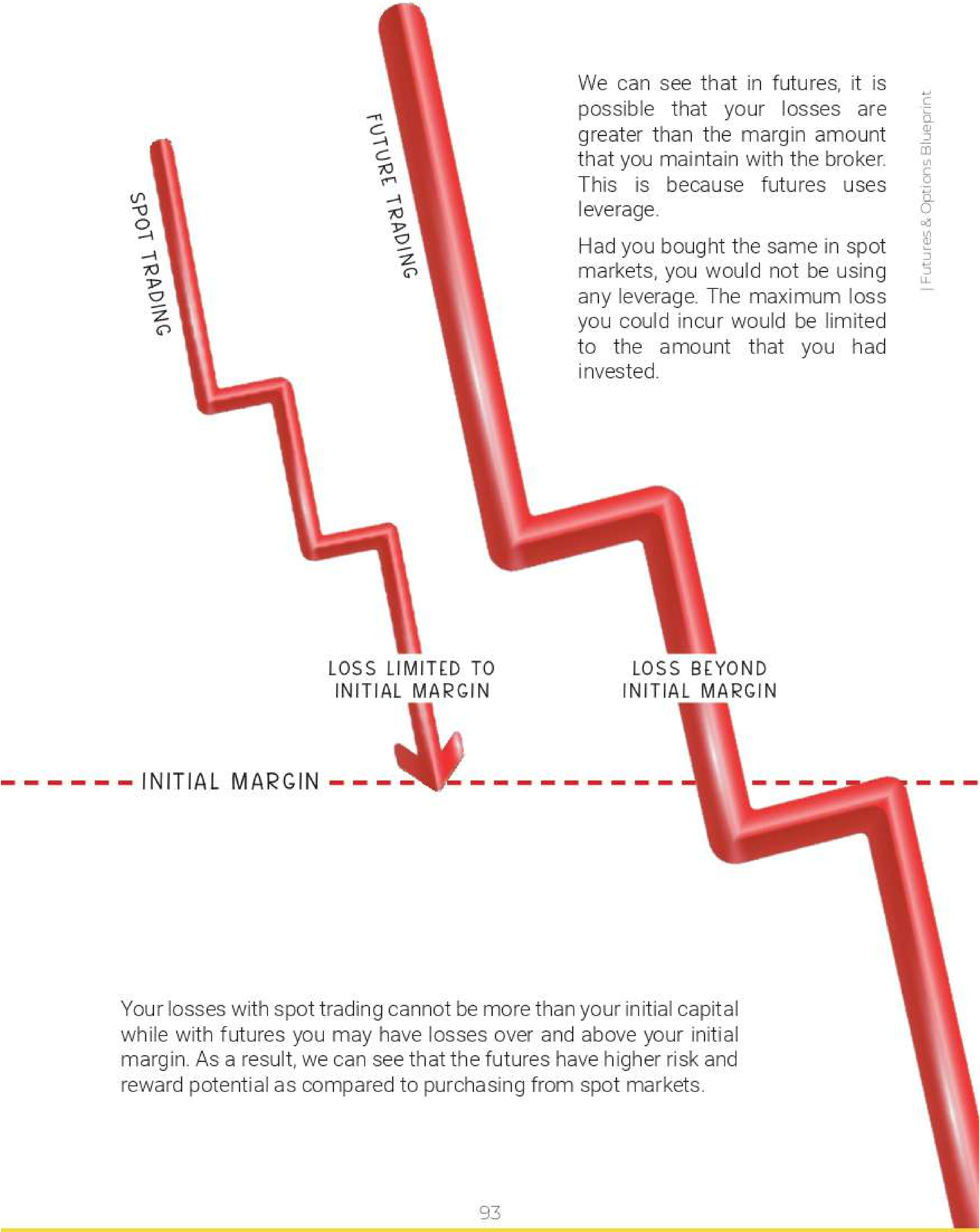
We can see that in futures, it is possible that your losses are greater than the margin amount that you maintain with the broker. This is because futures uses leverage.

Had you bought the same in spot markets, you would not be using any leverage. The maximum loss you could incur would be limited to the amount that you had invested.



Your losses with spot trading cannot be more than your initial capital while with futures you may have losses over and above your initial margin. As a result, we can see that the futures have higher risk and reward potential as compared to purchasing from spot markets.